an>

Title: Discussion on the motion for consideration of the Statutory Resolution regarding Disapproval of Arbitration and Conciliation (Amendment) Ordinance, 2015 (No. 9 of 2015) and Arbitration and Conciliation (Amendment) Bill, 2015 (Discussion not concluded).

HON. DEPUTY SPEAKER: Now, the House will take up Item No.24 and 25 – Statutory Resolution and Arbitration and Conciliation (Amendment) Bill.

Shri N.K. Premachandran to move your Statutory Resolution.

THE MINISTER OF URBAN DEVELOPMENT, MINISTER OF HOUSING AND URBAN POVERTY ALLEVIATION AND MINISTER OF PARLIAMENTARY AFFAIRS (SHRI M. VENKAIAH NAIDU): Sir, I wish that everybody like the hon. Member, Shri N.K. Premachandran studies the Bill, does the homework and comes to the House and spends this much time so that we can have an enlightened debate. I am really happy. We may agree or we may disagree with him but I should appreciate the hard work done by him in studying all this. This should be a model to us, and Parliament is meant for that purpose only.

Sir, that is why you have seen that almost all the recommendations made by the Law Commission and then by the Standing Committee were agreed. But still we discuss it for hours together. That is the beauty of democracy. That spirit has to be kept in mind by all. I thought that I should at least compliment this one hon. Member. It is not that there are not other Members, there are also many Members. But particularly I mentioned about him.

SHRI N.K. PREMACHANDRAN (KOLLAM): I thank Shri Venkaiah Naidu, the hon. Parliamentary Affairs Minister. ...(*Interruptions*) Thank you very much for the observation made.

HON. DEPUTY SPEAKER: Let the hon. Minister move the Resolution.

SHRI N.K. PREMACHANDRAN : I beg to move:

> "That this House disapproves of the Arbitration and Conciliation (Amendment) Ordinance, 2015 (No.9 of 2015) promulgated by the President on 23 October, 2015."

THE MINISTER OF LAW AND JUSTICE (SHRI D.V. SADANANDA GOWDA): I beg to move:

> "That the Bill to amend the Arbitration and Conciliation Act, 1996, be taken into consideration."

Mr. Dy. Speaker, Sir, this is another landmark Bill that this Government is placing before the Parliament. Most of the commercial agreements between Indian national/ companies and between Indian nationals and foreign nations/ companies usually contain an arbitration agreement where parties agree to settle any prospective dispute through arbitration instead of going to court. The Arbitration and Conciliation Act, 1996 is the governing law regarding arbitration proceedings and enforcement of foreign arbitral awards.

Our Government has under its active consideration proposals for making Arbitration as a preferred mode for settlement of disputes by making it more user-friendly, cost effective and for expeditious disposal of cases. The Law Commission of India in its 246th Report and Supplementary Report has recommended various amendments in the Arbitration and Conciliation Act, 1996, so that India may become a hub of International Commercial Arbitration.

Taking into consideration the Law Commission's recommendations and suggestions received from other stake holders we have decided to amend the Arbitration and Conciliation Act, 1996.

Urgent steps were required to be taken due to the large pendency of cases in courts and slow process of dispute resolution through arbitration. Due to this, India does not enjoy a good position in contract enforcement in the World Bank Doing Business Report and has been ranked at 178 out of 189 countries in enforcing contracts. Quick enforcement of contracts, easy recovery of monetary claims and award of just compensation for damages suffered are absolutely essential to encourage investment and economic activity. Hence, as Parliament was not in Session and immediate steps were to be taken with a view to reduce the said pendency, taking into consideration the Law Commission's recommendations and after considering other suggestions received, the Arbitration and Conciliation (Amendment) Ordinance, 2015 was promulgated on 23rd October, 2015.

The Arbitration and Conciliation (Amendment) Bill, 2015 has been introduced in this House to replace the Arbitration and Conciliation (Amendment) Ordinance, 2015. The salient features of the Bill are as follows:

The Arbitral Tribunal shall make its award within a period of 12 months from the date it enters upon the reference. Parties may however extend such period up to six months. Thereafter, it can only be extended by the Court on sufficient cause. Further, if the award is made within a period of six months, the arbitral tribunal shall be entitled to receive additional fees, as the parties may agree, which will be an incentive to promote quick disposal of cases.